WHITFIELD CARTER LLP
22 Bishopsgate, London EC2N 4BQ • +44 (0)20 7946 0200 • whitfieldcarter.com

STRICTLY PRIVATE & CONFIDENTIAL — LEGALLY PRIVILEGED

LEGAL DUE DILIGENCE REPORT

Project Slate — Series C Investment in Penrose Robotics Limited

Prepared by Birchall Stone LLP for Thornaby Growth Equity LLP

Date: 13 March 2026 | Status: Final

1. Scope and reliance

This report has been prepared for the Lead Investor in connection with its proposed Series C investment in Penrose Robotics Limited (the Company). It is based on the documents made available in the data room (index DR-Slate) up to 11 March 2026, the replies to our enquiries, and public searches at Companies House and the UK Intellectual Property Office. This report is subject to the assumptions and limitations in the Appendix and may be relied upon only by the addressee.

2. Executive summary

We have not identified any matter that should prevent the Lead Investor from proceeding with the investment. The principal points for attention, and our recommended actions, are summarised below. None is, in our view, a fundamental issue, but several should be addressed by warranty, disclosure or a specific indemnity.

Ref	Issue	Rating	Recommended action
IP-1	Patent application GB2511234.8 (path-planning) pending, not granted	Amber	Warranty + monitor prosecution
IP-2	Open-source components (MIT/Apache 2.0) in core software	Green	Confirm licence compliance; warranty
LIT-1	Penrose v Caldervale Distribution (pilot contract dispute)	Amber	Specific disclosure; indemnity considered and rejected as immaterial
FIN-1	Pennine Asset Finance venture debt (£3.2m drawn)	Amber	Partial repayment at Completion; covenant review
EMP-1	Two engineers on garden leave (ex-employer covenants)	Amber	Warranty; monitor
TAX-1	HMRC enquiry into 2024 R&D claim	Amber	Tax warranty + 7-year claim period
CORP-1	Cap table and option pool reconciliation	Green	Confirmed against registers

3. Corporate

The Company is duly incorporated and in good standing. The statutory registers are complete and up to date. The issued share capital reconciles to the cap table provided, comprising ordinary shares, seed, Series A and Series B preferred shares, with an option pool of which 2,700,000 shares remain unallocated. The new Articles to be adopted at Completion give effect to the Series C rights (1x non-participating liquidation preference, broad-based weighted average anti-dilution, and the consent matters).

4. Intellectual property

The Company owns or is licensed to use the IP necessary for the Business. Patent application GB2511234.8 covering autonomous path-planning is pending; we recommend the Investor takes the benefit of a warranty as to ownership and non-infringement. The core navigation stack incorporates open-source components under permissive licences; we have reviewed the open-source register and consider the compliance position satisfactory. All key employees and contractors have assigned IP to the Company under their engagement terms.

5. Litigation

The Company is the claimant in Penrose Robotics v Caldervale Distribution, a dispute concerning a pilot deployment contract. The matter is at the case-management stage and the quantum is not material to the Business. We are satisfied that specific disclosure (rather than an indemnity) is the appropriate treatment. No other material litigation was identified.

6. Finance and security

The Company has a venture debt facility with Pennine Asset Finance Limited (£3,200,000 drawn) secured by a debenture. We have reviewed the facility and the security; the directors propose a partial repayment of £1,200,000 from the round proceeds. We recommend the Investor obtains confirmation that no covenant is in breach and that the chargeholder consents to the issue of the Series C Shares to the extent required.

7. Employment and tax

Senior employment terms are customary; two engineers are on garden leave pending resolution of ex-employer covenant questions, which we regard as low risk but worthy of a warranty. The Company has claimed R&D tax credits for 2023–2025; HMRC has opened a routine enquiry into the 2024 claim. We recommend reliance on the tax warranties with a 7-year claim period and a specific disclosure of the enquiry.

8. Recommended warranty and disclosure protections

- Full business warranties from the Company and the Founders, qualified by the Disclosure Letter only.
- Tax warranties with a 7-year claim period.
- Specific disclosure of the Caldervale litigation, the R&D enquiry and the garden-leave matters.
- Founder liability cap negotiated to a multiple of subscription proceeds; general claims time-barred at 21 months (as finally agreed).
- Pre-emption, anti-dilution and consent matters as set out in the new Articles and the Subscription Agreement.

Appendix — Assumptions and limitations

This report is based on documents available up to the cut-off date and does not constitute a comprehensive audit. We have assumed the authenticity of all documents and the completeness of the data room. This report is governed by English law and is subject to our standard terms of business.